MAHATMA GANDHI UNIVERSITY

Model Question Paper

Programme: BA (Hons) Economics
Course Code: MG4DSEECOA01
Course Title: Investment Environment and Portfolio Management Strategies
Semester: 4
Type of Course: DSE (Discipline Specific Elective)
Maximum Marks: 70
Duration of Examination: 2 Hours

Part A: Short Answer Questions (10 x 2 = 20 Marks) (Answer any 10 questions)

1.Define investment environment. (CO1, Taxonomy: Understand)
2.What are the key criteria for investment? (CO1, Taxonomy: Understand)
3.Identify the types of investors. (CO1, Taxonomy: Remember)
4.Differentiate between investment and speculation. (CO1, Taxonomy: Understand)
5.Define derivatives in the context of investments. (CO1, Taxonomy: Understand)
6.State the role of investment banks. (CO1, Taxonomy: Understand)
7.What is NSDL? (CO1, Taxonomy: Remember)
8.List benefits of depository settlement. (CO1, Taxonomy: Understand)
9.Explain systematic risk. (CO2, Taxonomy: Understand)
10. What is unsystematic risk? (CO2, Taxonomy: Understand)
11. How does diversification reduce risk? (CO2, Taxonomy: Apply)
12. What is risk profiling? (CO2, Taxonomy: Understand)
13. State the objectives of portfolio management. (CO3, Taxonomy: Understand)
14. What is Dow Jones Theory? (CO3, Taxonomy: Understand)
15. Define Security Market Line. (CO4, Taxonomy: Understand)

Part B: Short Essay Questions (6 x 5 = 30 Marks) (Answer any 6 questions.)

16.Discuss the criteria for investment and their importance. (CO1, Taxonomy: Understand)
17.Differentiate investment, speculation, and gambling with examples. (CO1, Taxonomy: Understand)
18.Explain the role and functions of investment banks. (CO1, Taxonomy: Understand)
19.Describe types of risk (systematic and unsystematic) with examples. (CO2, Taxonomy: Apply)
20.Explain standard deviation and variance as risk measures, with a simple calculation example. (CO2, Taxonomy: Apply)
21.Discuss risk reduction through diversification, with an example. (CO2, Taxonomy: Analyse)
22.Describe the portfolio management process and its objectives. (CO3, Taxonomy: Understand)
23.Explain Efficient Market Theory and its forms. (CO3, Taxonomy: Understand)

24.Describe Sharpe's Ratio for portfolio evaluation, including formula and example.(CO4, Taxonomy: Evaluate)
25.Discuss SEBI regulations for portfolio operations. (CO3, Taxonomy: Understand)

Part C: Essay Questions (2 x 10 = 20 Marks) (Answer any 2 questions.)

26.Discuss the investment environment, including process, criteria, types of investors, and avenues like derivatives and ETFs. (CO1, Taxonomy: Understand)
27.Analyze the risk-return relationship, types of risk, measurement tools (beta, SD, variance), and diversification strategies. (CO2, Taxonomy: Analyse)
28.Evaluate technical theories: Dow Jones, Elliott Wave, and Efficient Market Theory, with implications for investors. (CO3, Taxonomy: Evaluate)
29.Examine portfolio evaluation measures: Sharpe's, Treynor's, and Jensen's, with formulas and comparative analysis. (CO4, Taxonomy: Evaluate)